Unit - 8

Distribution Decisions

Concept and objectives of distribution.

Channel designs for consumer and industrial products.

Channel selection factors.

Concept and components of marketing logistics. Major logistics functions -transportation, warehousing, inventory management, order processing, material handling and customer services decisions.

Distribution practices in Nepal

Distribution Management

Concept

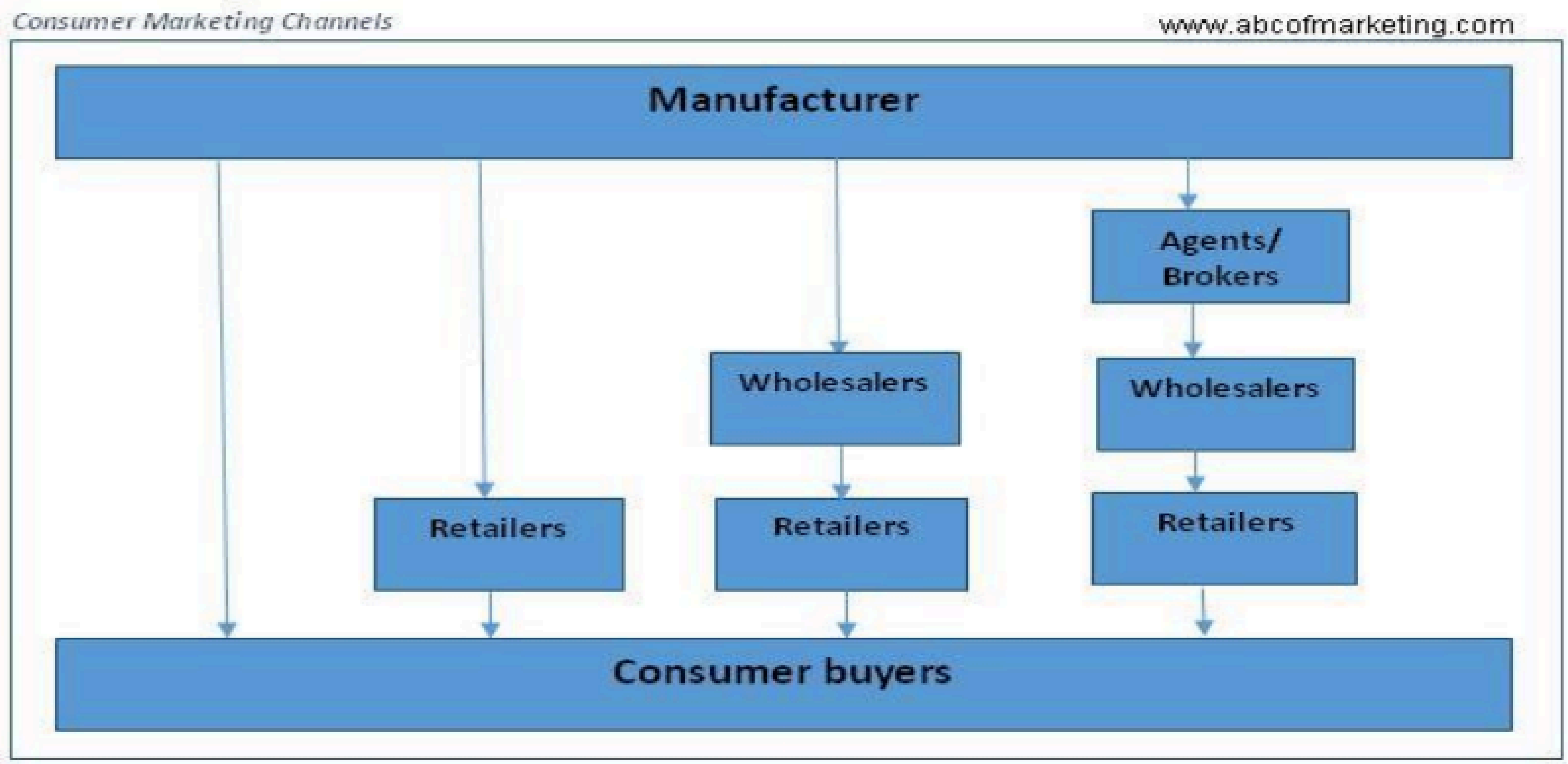
- Distribution refers to the movement of products and services from producers to the consumers using various channels.
- In broad term, distribution can be defined as the process whereby products and services are delivered from producers to consumers and organizational buyers where and when the products are needed.
- According to Philip Kotler, “Distribution includes the various activities the company undertakes to make the product accessible and available to target customer.”
- So distribution includes not only channels of distribution or marketing intermediaries such as wholesaler, retailers and agents but also include physical distribution such as order processing, transporting, storing, materials handling etc.

Objectives of distribution

- Movement of goods: Distribution facilitates the movement of goods from the point of production to the point of consumption. Therefore, a good distribution system is crucial for both the product's manufacturer and its customer.

- Availability of goods: consumer lives in different geographical area. Distribution function ensures that goods are placed into the hands of those scattered consumers who need them.
- Protection of goods: distribution ensures that goods are properly stored, handled and protected so that they can be supplied to consumers in proper condition.
- Makes transfer of ownership effective: distribution is only the means through which the ownership is transferred from the seller to the buyer.
- Strengthens promotion of product: usually, in the distribution process, most of the products are promoted and advertised by the marketing intermediaries. So, distribution has a promotional importance too.
- Sales increase: distribution makes sure that products in demand are always available. It ensures the contingency plans for quick order processing of goods.

Channel design



Channel design (structure) for consumer goods

Concept:

- The marketing channel is defined as a path traced in the direct or indirect transfer of ownership to a product, as it moves from a producer to ultimate consumers or industrial users.
- Channel design for consumer goods: personal or daily uses product is called consumer goods.

1. Manufacturer → consumer channel: this channel is also known as zero-level channel of distribution. Because it is a direct channel, which involves no middleman. In this types of channel, the producers themselves supply goods to the customer.

2. Manufacturer → retailer → consumer channel: in this channel, one intermediary business holder is involved. This is also called single level channel. Perishable goods are distributed through this channel. Eg. Departmental store, super market etc.

3. **Manufacturer → wholesaler → retailer → consumer channel**: two intermediaries, wholesaler and retailer work in this channel. This is also called two level channel. In practice, most of goods reach market through this channel. This channel used to distribute groceries, medicines, hardware goods etc.

4. **Manufacturer → agent → retailers → consumers channel**: in this channel, instead of using wholesaler, many manufacturers prefer to use manufacturer's agent, selling agent, broker or any other agent middlemen to reach the retail market.

5. **Manufacturer → agent → wholesaler → retailer → consumers channel**: it is the longest channel. There are three intermediaries between manufacturer and consumers. The goods reach the hands of consumers through agents, wholesalers and retailers respectively.

Channel design for industrial goods

- The goods used in order to produce any new goods are called industrial goods.

1. Manufacturer → industrial user channel: this is also called direct or zero level channel. There is no intermediaries are found between producer and industrial user, so distribution cost becomes cheap. Heavy machines and raw materials are distributed through this channel.

2. Manufacturer → industrial distributor → industrial user channel: it is also called one/single level channel. This channel is very popular and is suitable for the goods such as photocopy machine, construction equipment, operation supply, air conditioner, computer etc.

3. Manufacturer → agent → industrial user channel: sometimes, instead of using industrial distributor, a producer may use commission agents if he does not have his own marketing department. If producer willing to control distribution system and wants to introduce a new product they use agent rather than its own sales force.

4. Manufacturer → agent → industrial distributor → industrial user channel: this is the longest and popular channel. It is also called two level channel. Here agent means representatives of producer. Agent take the responsibilities to supply goods to distributors. Because of longest channel, distribution cost also gets high in proportion.

Channel selection factors (factors affecting channel selection)

- The choice of suitable channel of distribution is one of the most important decision in the marketing of product because channel affects the time and cost of distribution as well as the volume of sales. Choice of distribution channel involves the selection of the best possible combination of middlemen or intermediaries.

1. Market/consumer consideration: (consideration related to market/consumer)

- Types of the consumers: if industrial consumers then industrial distributors play vital role in distributing products and if consumer market then retailers play a vital role
- The number of consumers: large number of customer, more channel’s services are needed and small number then company’s sales force may only be used.
- Geographic concentration of market: if customers are centered in a few areas then direct selling is effective whereas customers are widely spread over the country then many channels are used.
- Order size: if sales volume large then direct selling is economical whereas industrial operating supplies then sold through industrial distributors.

2. Product consideration (consideration related to product)

- Nature of product: perishable products are distributed through short channel because delay in distribution may damage their marketability.
- Unit value of the product (unit sale value): when the product is very costly, it is best to use small distribution channel. For example: industrial machinery, gold and diamond jewelry etc. For less costly products long distribution channel is used.
- Technical product: technical products are distributed directly to the industrial user because manufacturer must have trained salesman and service man who can explain the product to customers and who can provide pre-sales and post sales services.
- Order size and weight of the product: if order size is bulky, direct sale is preferable because it minimize the cost of distribution.
- Product line with: only one product line then use wholesaler as a middle man and if dealing with several product line, more channel is used.

3. Channel consideration (middlemen):

- Channel availability: the middlemen preferred by the producer may not be available because they may be carrying competitive products and do not wish to add another line. Then it will be better for the producer to establish its own sales depots or branches.
- Service provided by middlemen: when a producer is unable to provide marketing services for the consumers and cannot perform these services economically then he may select middlemen who can provide necessary services more economically.
- Attitude of middlemen towards the manufacturer’s policies: sometimes the marketing policies of the manufacturers may not be acceptable to the middlemen. In this situation instead of middlemen a manufacturer has to use its own sales depots or branches.

Marketing logistics (physical distribution)

- Logistic means having the right things at the right place, at the right time.

- Physical distribution or marketing logistics is concerned with the management of flow of goods from the point of origin to the point of consumption.
- Physical distribution involves planning, implementing and controlling the physical flow of goods, services and related information from point of origin to the point of consumption to meet customers requirement at a profit.
- It is the concept of 7 R’s i.e. right product, right quantity, right condition, right place, right time, right customer, right price.
- The main objectives of physical distribution are:

- To provide customer service

- To distribute goods safely at right time

- To minimize the total cost

- To supply goods to the right target market

Functions of physical distribution (components)

Transportation

- Transportation is the element of marketing logistics that links geographically separated markets and facilities. Its elements create utility facilities on products by moving from the production point to the point of consumption.
- One can either use railway transportation, or high ways transportation, or water transportation, or pipeline transportation, or air transportation.

1. Railway transport: Railway is an important inland transport carrying a huge quantity of products from one place to another at least possible rate. But in Nepal we do not have adequate infrastructure for railway transport.
    - Benefits of railway transport:

      - It is faster than truck and ship - It is more economical than truck and ship - It is suitable for a long distance trade within the country
    - Disadvantages:

      - It causes unnecessary delay at terminals (depots)

- It involves high degree of risk of theft

2. Road transport (highway transport): the major means of highway transport are trucks, containers, wagons, trailers etc.

- Advantages:
  - Door to door delivery of goods by suppliers is possible
  - It eliminates the transshipment problems (like transit)
  - It is less risky in terms of losses and damages of goods
- Disadvantages:
  - It is not suitable for a long distance trade
  - More expensive than railway transportation
  - It suffer from the short-haul traffic problems (short travel distance)

3. Water transport (sea transport): it is the means of connecting the links of geographically separated markets such as trade link between many seashore countries. In Nepal there is no sea transport.

- Advantages:

  - Cheapest means of transportation
  - It can deliver bulky cargoes
  - It basically used for a long distant trade

- Disadvantages:

  - It cause slow distribution of goods
  - It may involve high degree of transshipment problem
  - It involve greater risk of damages or losses (sea storm)

4. <u>Pipe line transport</u>: A pipeline is a system of pipes for long-distance transportation of a liquid or gas, typically to a market area for consumption.

- Advantages:

  - It is more suitable and safer for the distribution of the gas, oil, petroleum products. - It is less expensive than others

- Disadvantages:

  - Not suitable for all types of products

  - It cannot be conveniently located as railways, truck and tankers.

5. <u>Air Transport</u>: shipment of goods by air is gaining popularity, especially in foreign trade. Some specific types of goods are distributed by air transport like perishable goods, Seasonal goods (occasional gifts), short life goods (fashion), medicine, spare parts etc.

- Advantages:

  - It assure quick delivery of goods

  - It involve less custom formalities

  - It is safest method of transport

- Disadvantages:

  - It is quite expensive than others

  - Less capacity than others

Warehousing

- A warehouse is a place where the products are kept in a way whenever needed or required by the market they can be easily distributed.
- One can use either a private warehouse, a public warehouse, or bonded warehouse.

Types of warehouse:

- Private warehouse: it is owned, managed and controlled by the owner of goods, usually the wholesalers. It is not for rental purpose.
- Public warehouse: it is also called commercial warehouse. These warehouses can be owned and managed by any member of public like, individual firms or public bodies (government, railway authority, municipalities etc.) according to the relevant law of the country.
- Bonded warehouse: it is the warehouse, where imported products are stored before the payments of duties by the importers. After the duties are paid, the goods are released from the bonded warehouse and transferred to the duty-paid warehouse.

Inventory Management and Control

- Inventory management is concerned about the management of keeping the right size of the stocks of products at right time.
- Inventory management is the process of tracking and maintaining a correct and up to date supply of products or materials required for a business.

- Effective inventory decision includes the following elements:

  - Inventory turnover (financial ratio showing how many times a company has sold and replaced inventory during a given period) higher ratio strong sales

  - Economic order quantity (EOQ) = √2����

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    Where A= annual requirement, O= ordering cost per unit, C= carrying cost per unit

  - Incorporate uncertain demand (calculating lead time i.e gap between two orders)

Order Processing

- Order processing is the behind-the-scenes fulfillment of a customer's purchase. After a customer orders something from a store, an order processor is responsible for taking that order and making sure it gets fulfilled correctly. Order processors usually work in warehouses, where they receive and ship out products.

- Order processing brings the marketing logistics system into action. It involves collecting, checking, and transmitting sales-order information. It consists of:

  - Order entry: it is a process of recording an order received form customers into the company’s entry system

- Order handling: it is the process of accepting and issuing orders.
- Order delivery: it is the process by which ordered goods are delivered to the customers’ point and getting confirmation.


ORDER PROCESSING STEPS
Order Placement
Sorting
Shipping
Picking
Packing
Delivering

Material Handling

- Material handling is also called physical handling of products is an activity that is important in inventory, warehousing, and transportation.
- Proper material handling is key to quality customer service. Better the material handling mechanism, the higher the customer satisfaction.
- A variety of equipment is used to handle wide range of product-sizes, shapes, volume and

weights. 

Customer Service Decision

- Customer satisfaction has always been a fundamental part of business. Customer service is the help and guidance provide by a company to the customers before, during and after they buy goods and service.

- Customer service is meeting the needs and desires of any customer. Today's customer service available via email, web, text message and social media.
- Key roles of customer service in marketing

a) Pre-sale support

- Answering questions
- Guiding product selection
- Building trust

b) During purchase

- Smooth transactions
- Real-time help (chat, call, etc.)

c) Post sales service

- Handling complaints/returns
- Providing technical support
- Following up for feedback

Distribution practice in Nepal

Distribution channels:

- Wholesalers and retailers are the most popular marketing intermediaries in Nepal. Several forms of retail stores are available in Nepal such as departmental stores, convenience stores, mobile shops, general stores etc.

- Departmental stores and super markets like Blue Bird Departmental Store, Bhatbhateni supermarket, Salesways Departmental Store etc. are gaining popularity in Nepalese markets especially in town area. (Kathmandu, Pokhara, Biratnagar etc.)
- Wholesaling business houses are increasing these days. These stores have facilitated not only the retailers but also the consumers. (NBTC wholesale market, RB complex)

Channel structure:

- Organization like DDC use non tiered distribution system. DDC distributes milk through local retail booths. But its milk products such as sweets are distributed directly through its own show room.

Logistic management

- Transportation: most of the transporters use the road transportation in Nepal. Railway and water transportation services are not available in Nepalese market. Some businessmen use the air transportation. But it is more expensive than other.
- Warehousing: business people maintain modest warehouse that are not well planned and laid

out. Large organization like National Trading, Salt Trading have large warehousing facilities. Some bounded warehouses are available in the Tribhuvan International Airport.

- Inventory control and management: appropriate inventory management and control system is not found in Nepal. But some multinational companies like Surya Nepal and Nepal lever have computer based inventory management system.
- Material handling: In Nepal, some partners and to some extent push carts have been using for material handling
- Order processing: the order processing in Nepal is based on telephone and email.

Questions:

- What is distribution?
- Point out the objectives of distribution.
- Mention the channel selection factors.
- Give the meaning of marketing logistics.

- Point out some components of physical distribution.
- Define transportation.
- What do you mean by warehousing?
- What is order processing?
- Give the meaning of material handling.
- Give the concept of customer service decision in marketing.
- Draw and explain distribution channel of consumer goods. 5
- Discuss the distribution practices in Nepal. 5
- Draw and explain distribution channel of industrial goods. 5 • What do you mean by distribution? Explain channel selection factors. 10 • Describe the factors affecting selection of distribution channel. 10